

What Are They and Why Do We Pay Them?

■ Learning Objectives

- Understand what taxes are and why we pay them.
- Identify who pays taxes and the different types of tax.
- Recognise services in daily life that are funded by taxes.
- Appreciate how sharing through taxes helps the community.

1. What Is Money For?

Money is something we use every day. Think about the last time you went shopping with your family. Have you ever wondered where the money goes after you pay for something?

Money is used for:

- Buying things we need and want (food, clothes, books)
- Helping families and friends in need
- Paying for things that help everyone in the community

2. What Are Taxes?

Taxes are money that people pay to the **government**. When adults earn money from their jobs or buy things at shops, they give a small part of that money to the government. This is called *paying taxes*!

■ **Key Definition:** *A tax is a required payment collected by the government from people and businesses. The government uses this money to provide services and build things that benefit everyone.*

The government collects taxes from *many* people and uses it to do good things for all of us — like building schools, making roads, and keeping everyone safe and healthy.

3. Who Pays Taxes?

■ Income Tax

Adults who work and earn money pay taxes from what they earn. This is called **income tax**. The more you earn, the more you pay — so everyone contributes a fair share.

■■ Sales Tax

People who buy things in shops also pay a small tax. This is called **sales tax** and is added to the price. That is why the amount on a receipt is sometimes a little more than the labelled price!

■ Service Tax

When we use electricity, water, or phone services at home, some of that bill is tax money. This is called **service tax** and it helps keep these services running for everyone.

4. Why Do We Pay Taxes?

Taxes allow the government to take care of things that would be too expensive or too difficult for just one person or family to pay for alone. When everyone contributes a little, big and important things become possible for the whole community!

■ Build schools where children like you can learn, play, and grow every day.

■■ Fix roads so buses, cars, and bikes can travel safely.

■ Keep parks clean and green for playing and relaxing.

■ Help hospitals take care of people when they are sick.

■ Bring safe, clean drinking water to our homes and schools.

■ Pay for street lights so everyone can walk safely at night.

■ Run buses and trains so families can go to school and work.

5. Where Does Tax Money Go?

The government uses tax money to pay for many things that help everyone in the community. Here is a summary:

Service	How Taxes Help
■ Schools	Pay for classrooms, teachers, books, and playgrounds.
■■ Roads	Build and repair roads so vehicles can travel safely.
■ Hospitals	Fund doctors, nurses, medicines, and equipment.
■ Parks	Maintain green spaces and playgrounds for everyone.
■ Police	Keep our neighbourhoods safe and protect citizens.
■ Water	Provide clean water supply to homes and schools.
■ Transport	Subsidise buses and trains for affordable travel.

6. What Happens Without Taxes?

■ Without Taxes	■ With Taxes
Broken roads full of potholes	Smooth, repaired roads for safe travel
No street lights — dark at night	Bright street lights for everyone's safety
Empty schools with no teachers or books	Happy schools full of children learning
No clean water supply	Safe drinking water at home and school
Hospitals with no equipment or staff	Well-funded hospitals to treat the sick

7. Taxes in Our Daily Life

Look around you! Many things we use every day are paid for by taxes. Can you spot things in your daily life that are funded by tax money?

- The school bus that takes you to school
- The classroom, desks, and books you use every day
- The park where you play with your friends
- The clean water that comes out of the tap
- The street lights on your road at night
- The police who keep your neighbourhood safe
- The government hospital near your home
- The roads and footpaths you walk and ride on

8. Taxes Help Build Our Future

- Taxes fund education so every child can learn, grow, and achieve their dreams.
- Taxes build infrastructure (roads, bridges, buildings) that the country needs.
- Taxes protect the environment so future generations enjoy clean air and water.
- Taxes help people who need care and support — making society fairer for all.

9. What Can You Do?

■ Learn About Money

■ Respect Community Helpers

• Ask your parents how they pay for things. • Watch how shops give receipts. • Notice the prices of items you buy. • Learning about money helps you understand the world!

• Say thank you to teachers, police, and doctors. • Keep your school and neighbourhood clean. • Ask questions about how your town works. • You can help make your community a better place!

10. Let's Help Our Community!

We can all help make our community better! Even small actions matter:

- Keeping our neighbourhood clean
- Planting trees and flowers
- Helping our friends and neighbours
- Taking care of shared spaces like parks and footpaths

When we work together, our community becomes a happier and safer place for everyone!

11. Fun Quiz Time! ■

Can you answer these questions about taxes? Circle or write your answers!

Q1. What is a tax?

- A) Money you earn from doing chores
- B) Money people pay to the government to help everyone
- C) Money you save in a piggy bank
- D) Money you spend at the toy shop

■ Answer: B

Q2. Which of the following is paid for by taxes? (Circle all that apply)

- A) School ■
- B) Ice cream truck ■
- C) Road ■■
- D) Toy store ■

■ Answer: A and C

Q3. What is income tax?

- A) Tax on things you buy at a shop
- B) Tax on your electricity bill
- C) Tax that working adults pay from the money they earn
- D) Tax on water usage only

■ Answer: C

Q4. Why do we need to pay taxes?

- A) Because it is a law we must follow
- B) To help the government pay for schools, roads, hospitals, and more
- C) To earn pocket money
- D) To buy things for ourselves

■ **Answer: B**

Q5. Name TWO things in your daily life that are funded by taxes.

- 1) _____
- 2) _____

■ **Possible answers: school, road, park, hospital, street light, water supply, school bus, police, etc.**

12. Key Vocabulary

Tax	Money collected by the government from people and businesses.
Government	The group of people who run a country and make decisions for everyone.
Income Tax	A tax on the money adults earn from their jobs.
Sales Tax	A tax added to the price of goods and services bought in shops.
Service Tax	A tax on services like electricity, water, and telephone bills.
Community	A group of people living in the same area who share services and spaces.
Public Services	Services provided by the government for everyone, like schools and hospitals.

■ *Remember: Taxes are a small contribution from everyone that makes a BIG difference for the whole community. When we all share a little, everyone benefits — from schools and hospitals to clean water and safe roads. Paying taxes is a way of caring for each other!* ■